

“I’m more positive on India than on China”

Mark Mobius, Chairman of the Mobius Emerging Opportunities Fund, on how the ceasefire with Pakistan can act as a trigger for the Indian markets

BY SIDDHARTH ZARABI

52 |

M

Markets across the world have cheered the ceasefire in the US-China trade war. As the fog lifts on US President Donald Trump’s trade policies, uncertainty, the market’s biggest enemy, has eased. To understand the impact of these moves, Siddharth Zarabi spoke with one of the world’s leading voices on emerging markets, Mark Mobius, the 88-year-old Chairman of the Mobius Emerging Opportunities Fund. Edited excerpts:

Q: With the US-China trade war entering a ceasefire, is the era of escalating tariffs behind us?

A: I like the term you use, ceasefire, because the war continues. At the end of the day, there’s no question that China was desperate to reach an agreement, be-

cause with the tariffs they are facing now, their export manufacturing is being decimated. But at the same time, Trump needed to have an agreement as well, because the market was not behaving very well. And of course, he’s keeping an eye on what’s happening to the stock market in America. So, what we are seeing now is some agreement, but it remains to be seen how it will be implemented, because there are a lot of non-tariff barriers that China must reduce or eliminate. This is going to be a continuing story, and I don’t think we can conclude that everything is sorted and that nothing will happen from here on.

Q: Has this easing of tensions lowered the probability of a recession in the US?

A: Yes, I believe there’s going to be lesser chance of a recession in the US. Of course, you must remember that Trump is now implementing many other measures, including boosting manufacturing in the US, having companies in America invest more and reducing pharmaceutical prices, which will all have a big impact on inflation. So, there are many measures being taken that will probably reduce the chances of a recession in the US.

Q: What will the consequences be for the global economy? Is it entering a more stable phase now?